

TCO / Lifecycle Costing

The whole truth about what a concept costs — before a contract is signed

1

WHAT THE VENDOR SHOWS

The production quote — creation, staging, opening.
The number on the contract's first page. Historically
~40–60% of the real cost.

2

WHAT THE VENDOR DOESN'T

10 years of operations: cast & crew, maintenance,
energy, insurance, marketing, royalties · creative
refresh every 3–4 years · equipment refurbishment ·
closing / end-of-life costs.

3

THE TCO ENGINE

One structured model per concept: production + 10-year operations + refresh cycles + exit — inflation-adjusted (indicators from Market Intelligence feed inflation & FX automatically). Output: **total cost of ownership over 10 years**, per year and per ticket sold.

4

TESTED AGAINST THE GATES

TCO/yr must fit under Gate 1 (operating ceiling).
Production share must fit under Gate 2 (max
investment). Same boundaries, deeper truth.

5

THE DECISION VIEW

Side-by-side TCO of competing concepts — sticker
price vs 10-year truth. A cheaper build with
expensive operations loses to a dearer build that
runs lean.

How to read it

The vendor's quote (1) is only part of the picture; the module adds everything the quote omits (2) into one lifecycle engine (3). Every concept is then re-tested against the same two gates the Business Model produces (4), and leadership compares concepts on the 10-year truth, not the opening-night price (5).